NEXORA INDUSTRIES

Global Procurement Policy

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Nexora Industries is a fictional company. This synthetic document was created for a portfolio demonstration and does not describe a real organisation.

1. Purpose and scope

This policy sets the rules for buying goods and services at Nexora Industries. It applies to all Nexora entities, plants and employees, for both direct materials (raw materials and parts used in production) and indirect spend (services, IT, facilities, logistics and maintenance, repair and operations supplies).

The following are out of scope: payroll and employee benefits, taxes and duties, intercompany transactions between Nexora entities, donations and sponsorship (covered by the Corporate Communications policy), and the purchase or sale of real estate, which is approved by the Board.

2. Procurement principles

- **Competition**: suppliers are selected through fair and documented competition.
- **Total cost of ownership**: decisions consider quality, logistics, payment terms and lifetime costs, not only the unit price.
- **Segregation of duties**: the person who requests a purchase cannot approve it, and buyers cannot create or modify supplier master data.
- **Traceability**: every sourcing decision must be documented and auditable.
- **Sustainability**: for contracts of €250,000 or more, environmental and social criteria carry a weight of at least 10% in the supplier evaluation grid.

3. Roles and responsibilities

- **Requester**: defines the need, creates the purchase requisition with a cost center and budget, and confirms the receipt of goods or services.
- **Buyer**: runs the sourcing process, negotiates and issues the purchase order.
- **Category Manager**: owns the category strategy, the preferred supplier list and frame agreements; approves bid comparisons from €50,000 and single-source justifications below €250,000.
- **Chief Procurement Officer (CPO)**: owns this policy, approves single-source justifications from €250,000 and any exception to this policy.
- **Procurement Operations**: maintains supplier master data and price records in the ERP and reports on purchase-to-pay compliance.
- **Accounts Payable (Finance)**: processes invoices and pays suppliers.

4. Purchase requisitions and purchase orders

Nexora applies a "No PO, no pay" rule: every purchase requires an approved purchase order (PO) issued before the supplier is engaged. The only exceptions are purchasing card transactions under NX-PUR-004, utilities (electricity, gas, water) and statutory fees, and

emergency purchases under section 6.

A PO created after the delivery or after the invoice is an "after-the-fact" PO. It must be justified in the requisition and is reported monthly to the CPO and the Site Director. A requester with more than three after-the-fact POs in a quarter is escalated to their line manager.

Requisitions are approved according to the Delegation of Authority for Purchasing (NX-PUR-002).

5. Competitive sourcing thresholds

Thresholds apply to the total contract value excluding VAT over the full contract duration, including options and renewals.

Total contract value	Minimum sourcing requirement
Below €5,000	One quote; the buyer checks that the price is reasonable
€5,000 to €49,999	At least three written quotes
€50,000 to €249,999	At least three written quotes and a documented bid comparison approved by the Category Manager
€250,000 and above	Formal tender (RFQ) on the e-sourcing platform with sealed bids from at least three qualified suppliers; the award is decided by the Sourcing Committee

Splitting a requirement into several smaller purchases to stay below a threshold is prohibited.

6. Single-source and emergency purchases

A purchase can be made without competition only when a single supplier is technically able to deliver, when the customer imposes the supplier (directed buy), or when changing supplier would put a running program at risk. The buyer must complete a Single Source Justification (SSJ) explaining why competition is not possible. The SSJ is approved by the Category Manager below €250,000 and by the CPO from €250,000. An SSJ covers one purchase or one contract, for a maximum of three years.

Emergency purchases are allowed only when there is an immediate risk to people's safety or of a production line stoppage. The buyer may order verbally or by email, but the PO must be created within 2 business days and the Category Manager must be informed. The CPO reviews all emergency purchases every quarter.

7. Preferred suppliers and frame agreements

When a frame agreement exists for a category, requesters must order from the preferred supplier list through the e-catalog. Buying outside an active frame agreement requires the written approval of the Category Manager. Each Category Manager reviews the preferred supplier list once a year.

8. Sourcing Committee

The Sourcing Committee is chaired by the CPO and includes the CFO or a delegate, the Category Manager concerned and, for direct materials, a Supplier Quality representative. It meets twice a month. It decides all awards of €250,000 and above and reviews supplier phase-out cases raised under NX-PUR-007.

9. Records retention and exceptions

Quotes, bid comparisons, single-source justifications and contracts are stored in the e-sourcing platform for 10 years after the end of the contract. Any exception to this policy requires the written approval of the CPO. Breaches of this policy may lead to disciplinary action.